

20 May 2026 09:43:48 ET | 11 pages

Metal Matters

Gold price under pressure of energy-driven inflation concerns over the near term; China gold imports still robust

CITI'S TAKE

We stay cautious gold near-term as continued Strait of Hormuz closure and high energy prices lead to lower investor buying on fear of a risk off related sell-off (in line with historical precedent in gold). China's spending on gold imports remained around all-time highs of ~\$300bn per annum on solid investment demand and strengthening RMB (for reference total world spending on gold was normally around this level during the pre-COVID years in today's dollars. This is supporting gold prices at elevated levels by historical standards, but is not changing the main delta which is lower investor demand, notably in India and we suspect from ex-China retail.

We stay [cautious near-term on gold](#) with a 0-3m point-price price target of \$4,300/oz as [inflationary pressure](#) from continued Strait of Hormuz impasse leads to increasing market expectation of Fed rate hikes, weighing on gold prices through higher real rates and strong US dollar. Prices could fall well below this level on a major risk-off event (recall we were trading at 3,400/oz only 12m ago). The historical negative correlation between US real rates and gold prices severely weakened during the central bank-driven gold rally of 2022-24 but has recovered on increased non-CB investor participation (see Figure 1). Short-term selling pressure on gold can intensify on US-Iran re-escalation (not a base case) and/or major equity selloff/de-grossing which typically sees gold lower first the rebound (see Figure 2).

While the SoH remains partially or largely closed we remain cautious on gold, at least until that is fully priced, though ultimately we are looking to buy for the longer term. When the Strait of Hormuz situation eventually deescalates ([our new base case](#) is now July), the prevailing macro headwinds against gold (e.g. high real rates and strong US dollar) will ease and gold price will likely bottom out. In the scenario of much longer SoH closure and much higher for longer energy prices (not a base case), the market concern will shift from inflation without recession (as US high frequency economic data still overall robust) into stagflation, the worst situation for any central bank which historically saw negative returns on equities and bonds but very positive returns on precious metals (see Figure 3). Latest [1Q data from the World Gold Council](#) show strong bar & coin demand, still resilient jewelry demand, and a rebound in central bank demand (see Figure 4). Meanwhile, China and India, the two biggest consumer markets for gold, have seen [diverging demand trends](#) driven by local policy changes and opposite directions of currency moves.

April China Customs data show continued strength in non-monetary gold import, down slightly from the March highs, but up 25% y/y in volume terms and up ~83% y/y in value terms (see Figure 6). China apparent demand reached a record high in value terms in 1Q'26 (see Figure 7), driven by retail bar and coin demand which hit record levels in both volume and value terms, while jewelry demand also stayed resilient. The "unaccounted for demand" in our apparent demand modeling (i.e. demand not covered under bar & coin, jewelry, industrial, ETF or official CB) also saw a rebound in 1Q'26 after staying negative in 4Q'25 (see Figure 8). China gold premium has weakened from the prior months but remains positive (see Figure 9).

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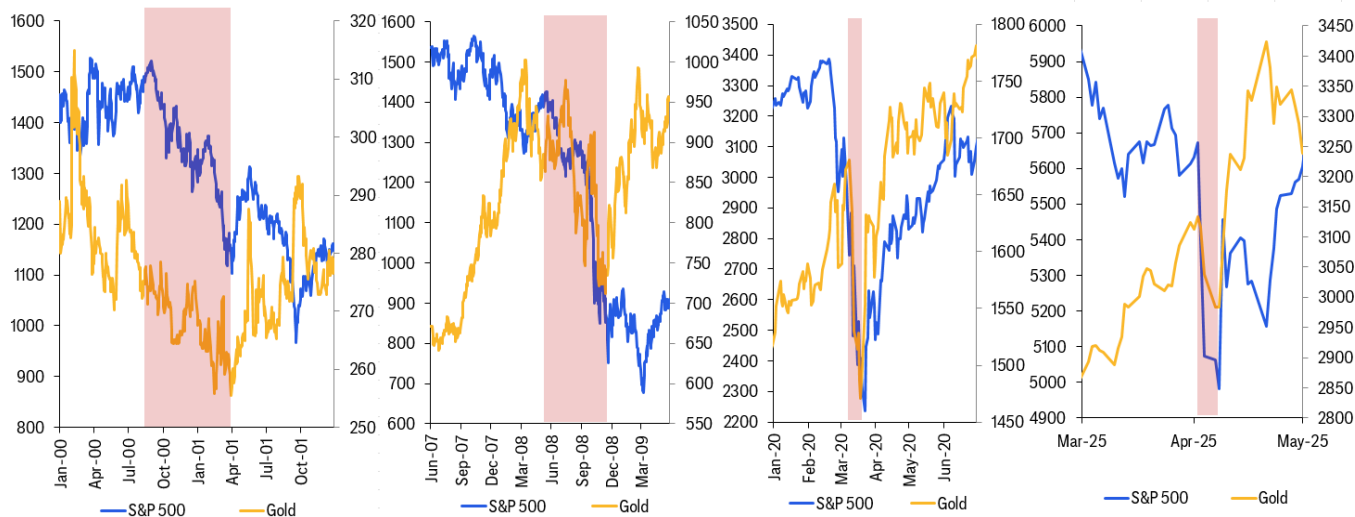
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Figure 1. The negative correlation between gold price and US real rate has returned – average daily correlation between gold & 5y real rate at -0.75 YTD, vs -0.65 in 2025 and only -0.2 in 2024



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Source: Citi Research, Bloomberg

Figure 2. A major equity market correction typically sees gold lower first then rebound



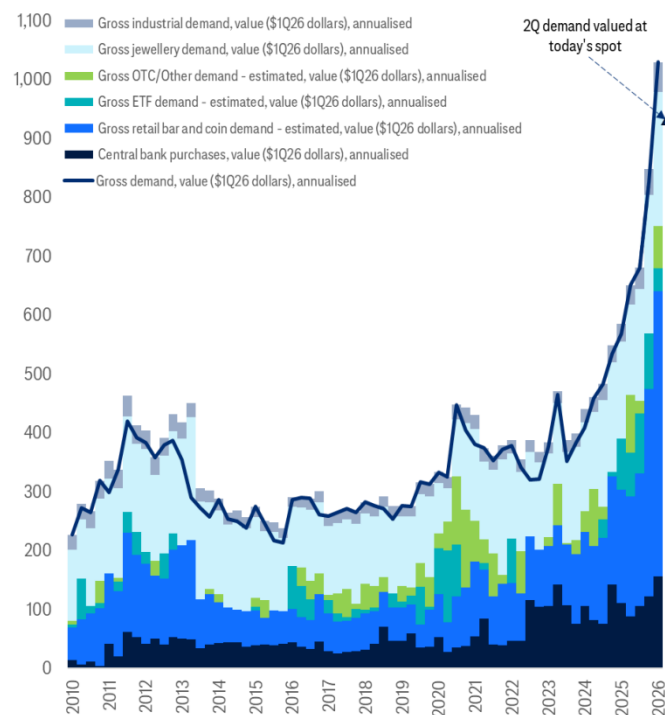
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Figure 3. Precious metals (particularly gold) historically outperformed during stagflationary periods (e.g. the 2nd oil crisis), with volatility created by recessions / Volker moment comes along



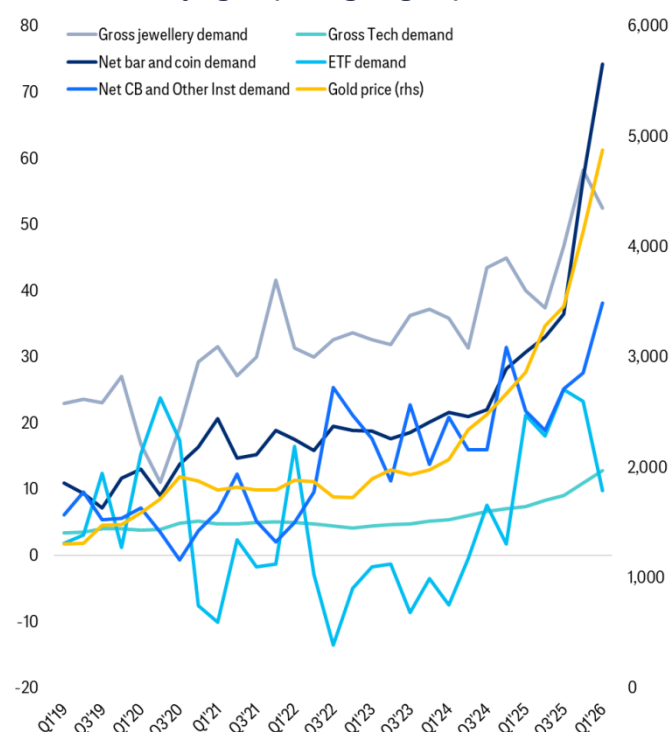
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Figure 4. Gross gold spending (annualized) at over ~\$1tr in 1Q'26



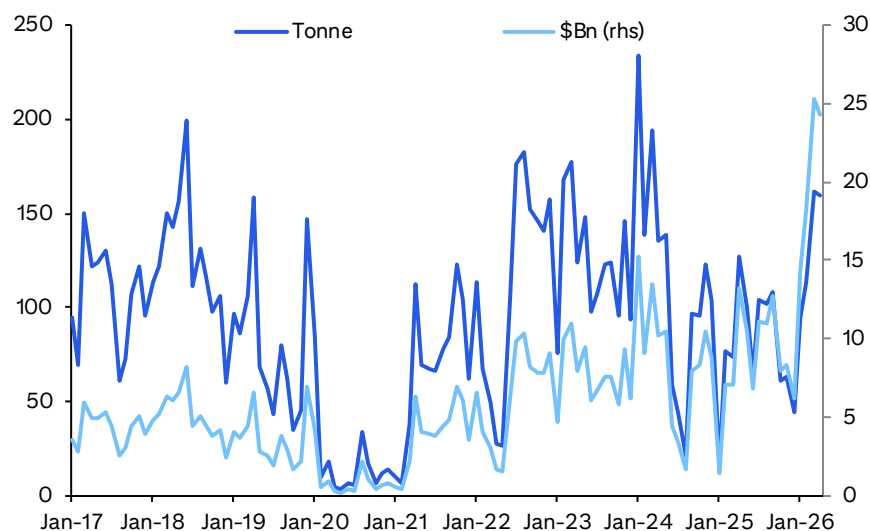
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Figure 5. 1Q WGC data (\$bn, lhs) show strong bar & coin demand, still resilient jewelry demand, and a rebound in central bank buying despite higher gold price (\$/oz, rhs)



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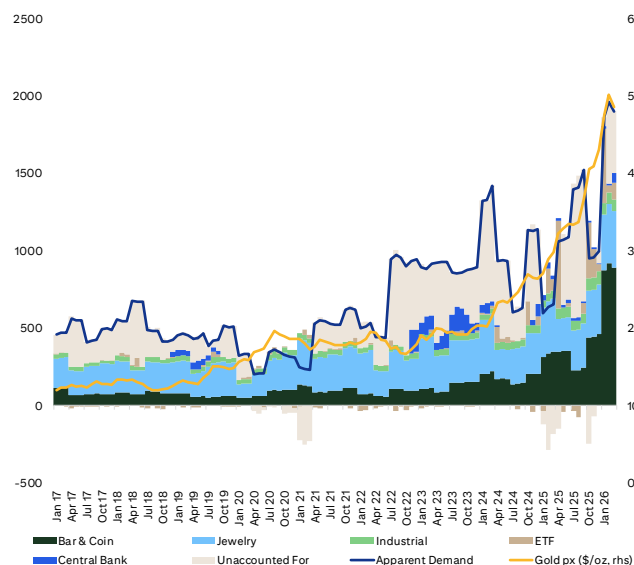
Figure 6. China monthly non-monetary gold import set to remain strong on CNY strength, resilient domestic demand and easing import licensing rules



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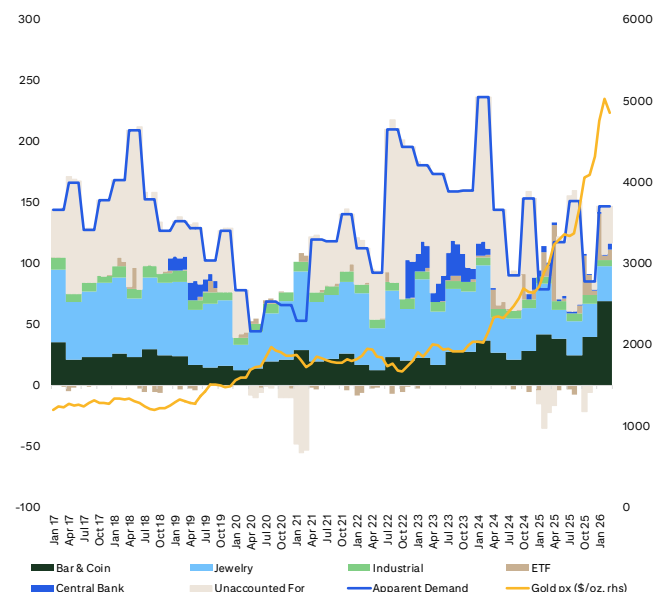
Figure 7. China gold demand reached record high in value terms (Bn RMB, annualized, lhs) in 1Q based on our apparent demand modeling...



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Source: Citi Research, China Customs, Bloomberg, WGC, CGA

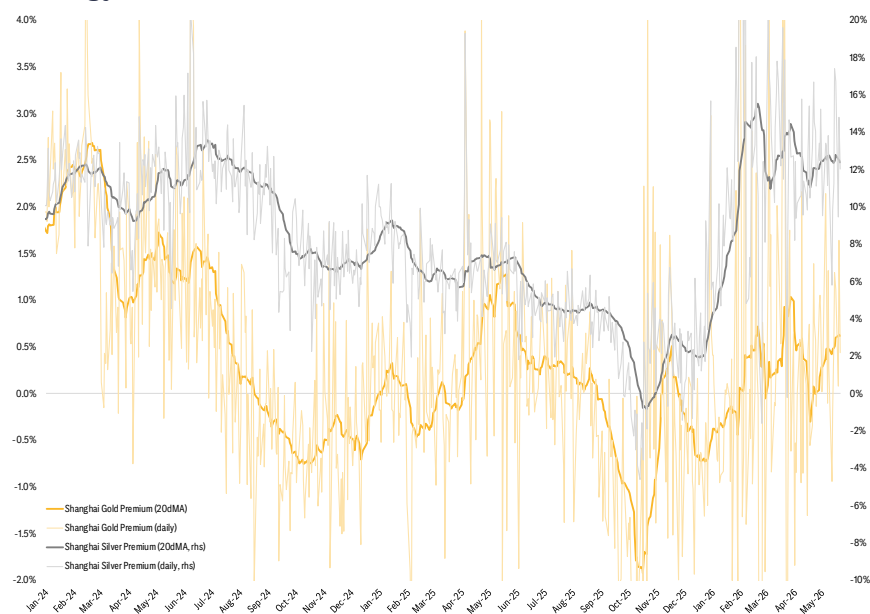
Figure 8. ... as overall demand remains robust in volume terms (tonne, lhs), driven by strong bar & coin demand and still resilient jewelry demand



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Source: Citi Research, China Customs, Bloomberg, WGC, CGA

Figure 9. China gold premium weakened from Mar-Apr levels; silver premium hovering just below the 13% VAT rate



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Source: Citi Research, Bloomberg

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